

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 22-07

ACME FREIGHT SERVICES CORP.,

Complainant,

v.

TOTAL TERMINALS INTERNATIONAL, LLC,

Respondent.

**MOTION TO DISMISS
OF RESPONDENT TOTAL TERMINALS INTERNATIONAL, LLC**

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MOTION TO DISMISS

Respondent Total Terminals International, LLC (“TTI”) hereby respectfully moves for dismissal of the complaint because it fails to state a claim against TTI.

I. SUMMARY OF THE ARGUMENT

Even taking the allegations in the complaint as true, it fails to state a claim against TTI as it fails to allege that ACME ever paid demurrage to TTI.¹

According to its complaint, ACME Freight Services Corporation paid \$185,000 in demurrage charges (to an unnamed party) because five of its containers sat on TTI’s terminal for nearly ten months. ACME filed a complaint against TTI, claiming that these charges are unreasonable because the delay was due to the U.S. Customs and Board Patrol’s

¹ TTI refutes many of the allegations in the complaint, but for purposes of this motion to dismiss TTI addresses the allegations as if they were true. In reality, TTI is not the party that “assessed” or “imposed” the \$185,000 demurrage against ACME. *Contra* Compl. ¶¶ 11–12. Instead, the ocean carrier, MSC, billed ACME the demurrage directly according to MSC’s own publicly available tariff. Ex. A, publicly available at <https://www.msc.com/en/local-information/america/united-states> (under the “Local Requirements” Tab, then under the “Detention, Demurrage, Per Diem and Storage Charges” Tab, and select “Download” the “Detention Demurrage and Per Diem charges” pdf). ACME has filed a complaint against the wrong party.

discovery that the containers did not contain new medical gloves as claimed (even though that excuse only accounts for half the time the containers sat at TTI). CBP inspected the containers, held them, and eventually ordered them re-exported. The problem is that ACME does not allege that it paid that demurrage to TTI, which it did not. ACME's complaint should be dismissed.

First, TTI is not the proximate cause of any loss to ACME. ACME did not pay demurrage charges to TTI, and ACME does not allege as much.² To state a claim under § 41102(c) of the Shipping Act, ACME must allege facts establishing, among other things, that TTI was the proximate cause of its harm. 46 C.F.R. § 545.4(e). That link must be unbroken by intervening actors or events. *Wolf v. Fauquier Cnty. Bd. of Supervisors*, 555 F.3d 311, 321 (4th Cir. 2009). Here, that link is between ACME and the party to whom ACME actually paid the demurrage (i.e., the carrier). Perhaps ACME's theory is that TTI charged the carrier certain fees, and that the carrier "passed [the charges] on to shippers and

² The complaint stops short of alleging that ACME paid the demurrage to TTI for good reason. Under Federal Rule of Civil Procedure 11, ACME cannot allege as much because ACME in fact did not pay the disputed demurrage to TTI.

their agents via demurrage.” *Interpretive Rule on Demurrage and Detention Under the Shipping Act*, 85 Fed. Reg. 29,638, 29,650–51 (May 18, 2020). But, as an initial matter, that is not what ACME’s complaint alleges. And even if it did, this Commission has clarified that ACME’s claim would be based on “the reasonableness of *ocean carrier* demurrage practices vis-à-vis shippers, intermediaries, and truckers, *not marine terminal operator practices . . .*” *Id.* at 29,651 (emphasis added). In other words, ACME’s claim lies, if at all, against the party to whom it paid demurrage (i.e., the carrier), not TTI.

Second, ACME’s challenge is focused on a solitary event: demurrage charges on a single set of containers. To state a claim under 46 C.F.R. § 545.4, a plaintiff must allege facts establishing that “[t]he claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis.” 46 C.F.R. § 545.4(b). The only related allegation in ACME’s complaint merely parrots this language. *See* Compl. ¶ 17. (“Respondent’s practices and regulations . . . are occurring on a normal, customary, and continuous basis, and are unjust and unreasonable.”). But, as the Commission explained, “[a] pleading that offers labels and conclusions or a formulaic recitation of the elements of

a cause of action will not do.” *Port Elizabeth Terminal & Warehouse Corp. v. Port Auth. of N.Y. & N.J.*, 1 F.M.C.2d 29, 31 (2018) (quotation marks omitted).

Third, even if TTI had collected demurrage from ACME and even if the Shipping Act governed one-off scenarios rather than regulations and practices, demurrage here is reasonable and justified under the facts alleged in the complaint. The key question in ascertaining the reasonableness of demurrage is whether it incentivizes the flow of goods. Bringing in un-importable containers (where the contents apparently do not match the bill of lading) slows the flow of goods and clogs valuable container yard space. Requiring the importer (or here the importer’s consignee) to pay the cost of that harm properly aligns incentives to encourage importers and consignees to ensure that the companies they work with are not committing fraud. To the extent ACME is asking for a per se rule that would always bar demurrage during a government inspection or hold, the Federal Maritime Commission recently declined to adopt this very rule.

II. STATEMENT OF MATERIAL FACTS

A. CMJ Medical Supply tries to buy new medical gloves and discovers fraud.

During the Covid-19 pandemic, a severe shortage of medical personal protective equipment arose. One player in private industry, CMJ Medical Supply LLC, bought and arranged to import 20 containers of medical gloves from Malaysia to fulfill this need, the purchase that spawned the current dispute. Compl. ¶ 7.

When the first two containers arrived, CMJ discovered that “the containers were stuffed with used gloves and empty boxes and not new medical gloves.” Compl. ¶ 8. On information and belief, ACME alleges that CMJ reported the matter to the U.S. Customs and Border Protection (“CBP”) and to the FBI. Compl. ¶ 8. CBP issued a hold for inspection on the remaining containers, including the five at issue here. Compl. ¶ 8.

B. Seamster Logistics, MSC, and ACME transport five of the containers from the glove shipment.

In November 2020, the five containers at issue here were shipped from Malaysia to the Port of Long Beach, California. Compl. ¶ 7. Various companies played a role in the shipment. According to ACME’s complaint, Seamaster Logistics, Inc. issued the house bill of lading and coordinated with Mediterranean Shipping Company (“MSC,” an ocean

carrier) and ACME (a consignee) to deliver the containers to CMJ. Compl. ¶ 7. ACME's complaint does not identify which company purportedly manufactured or sold the gloves.

C. CBP inspects the five containers and orders them re-exported to Malaysia.

On January 16, 2021, the five containers at issue arrived and were discharged from the MSC vessel at the terminal operated by TTI at the Port of Long Beach. Compl. ¶ 9. Less than two weeks later, on January 29, 2021, the Containers were transferred to another facility, so CBP could inspect them. Compl. ¶ 9. The inspection apparently unearthed problems. On February 22, 2021, the Containers were returned to the TTI terminal but remained subject to a government hold. Compl. ¶ 9. In July 2021, CBP issued an Emergency Action Notice requiring that the Containers be sent back to Malaysia, Compl. ¶ 10, presumably because the containers' contents did not match the bill of lading.

ACME, as the consignee, claims to have "worked diligently to obtain the required authorities to ship the Containers back to Malaysia." Compl. ¶ 10. But the Containers remained on TTI's terminal for months. Compl. ¶ 10. ACME did not re-export the containers back to Malaysia until November 2021. Compl. ¶ 10. All told, the five containers occupied

valuable container yard space at TTI’s terminal for nearly ten months during a global pandemic and supply chain crisis.

D. ACME pays demurrage charges to an unnamed party and files a complaint against TTI.

According to ACME’s complaint, ACME paid demurrage charges that began to accrue on February 28, 2021—but ACME never says *who* it paid. Compl. ¶¶ 11, 12. The demurrage charges amounted to \$185,000. The complaint alleges that ACME “was required to pay,” [by an unnamed party] “and did pay” [to an unnamed party] “demurrage charges imposed³ by TTI.” *See* Compl. ¶ 12. The complaint never alleges, nor could it, that ACME paid the demurrage to TTI or that TTI ever collected ACME’s money.

Apart from the allegations in the complaint, it is established that a tribunal deciding a motion to dismiss may review “matters of which a court may take judicial notice.” *Tellabs, Inc. v. Makor Issues & Rights, Ltd.*, 551 U.S. 308, 322 (2007). *See also Farah v. Esquire Mag.*, 736 F.3d 528, 534 (D.C. Cir. 2013) (“Judicial notice is properly taken of publicly available historical articles . . .”). Publicly available records—required

³ *See supra* note 1.

to be posted and to be publicly available under FMC’s regulation 46 C.F.R. § 520.3—reveal that ACME’s allegations correspond with *MSC’s posted demurrage rates*.⁴ A review of MSC’s tariff for a 40HC container, shows that the alleged amount of \$185,000 accords with 249 days (February 27, 2021 through November 2, 2021, Compl. ¶¶ 10–11) of demurrage for 5 containers at MSC’s posted demurrage rate. That rate includes \$80 for the first 5 days (\$400 per container) and \$150 dollars for the remaining 244 days (\$36,600 per container). Ex. A § A.1. For five containers, MSC’s rates amount to exactly \$185,000. *Id.* A review of the Port of Long Beach and TTI tariffs shows that those rates are different and none of the rates could correspond with the alleged charge of \$185,000 with the alleged number of days charged.⁵ MSC’s public tariff

⁴ The tariff is also subject to judicial notice because “[i]t is appropriate to take judicial notice of this information, as it was made publicly available by government entities” and is “capable of accurate and ready determination by resort to sources whose accuracy cannot reasonably be questioned.” *Daniels-Hall v. Nat’l Educ. Ass’n*, 629 F.3d 992, 998 (9th Cir. 2010) (quotation marks omitted). The FMC requires MSC to publicly post its tariffs. 46 C.F.R. § 520.3. FMC also posts links to the tariffs on its website. *Information accepted for filing*, FMC.gov (2022), <https://www2.fmc.gov/FMC1Users/scripts/ExtReportsTOC.asp>.

⁵ See Total Terminals Int’l, LLC, Marine Terminal Operator Rate Schedule (2018), <https://www.totalterminals.com/?act=articles&catid=395>;

also makes clear that because MSC’s rates are being applied, MSC would charge ACME directly:

The merchant is liable for demurrage charges assessed on the import containers, *which will be charged only once* to the cargo interest by either the marine terminal operator or the carrier. *In the event the carrier charges the merchant, the demurrage charges will be calculated as set forth below.*

Ex A § A.1 (emphasis added). The publicly available tariffs, in conjunction with the allegations in the complaint, explain why the complaint stops short of alleging ACME paid demurrage to TTI. MSC apparently billed ACME directly according to MSC’s own rates.

Even though it is not alleged that ACME ever paid demurrage to TTI, ACME asked TTI to “waive[] or discount [] the demurrage charges due to the unavailability of the Containers for pick-up.” Compl. ¶ 13. After TTI did not respond to ACME’s letter—which is understandable given that the charges at issue were apparently MSC’s billing of demurrage applying MSC’s tariff—ACME filed a complaint against TTI. Compl. ¶ 14.

Port of Long Beach, *Port Tariff* (Mar. 31, 2022), publicly available at <https://polb.com/business/port-operations-and-facilities/#port-tariff>.

III. LEGAL STANDARDS

The Federal Rules of Civil Procedure are followed in instances that are not covered by the Commission's Rules. 46 C.F.R. § 502.12. Rule 12(b)(6) of the Federal Rules generally governs motions to dismiss. The Commission, as well as federal courts, apply the standards set forth by the Supreme Court in *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544 (2007) and *Ashcroft v. Iqbal*, 556 U.S. 662 (2009). *See Port Elizabeth Terminal*, 1 F.M.C.2d at 30–31 (applying *Twombly* and *Iqbal* pleading standards). To survive a motion to dismiss for failure to state a claim under Rule 12(b)(6), the complaint must contain facts which, accepted as true, would “state a claim to relief that is plausible on its face.” *Twombly*, 550 U.S. at 570; *see also Port Elizabeth Terminal*, 1 F.M.C.2d at 30–31 (applying *Twombly* and *Iqbal* pleading standard). “A pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.” *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 555).

IV. ARGUMENT

ACME's complaint fails to allege sufficient facts to establish multiple elements of the chosen cause of action. To state a claim under 46 U.S.C. § 41102(c), a complainant must allege facts establishing five

elements: (1) “The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary”; (2) “The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis”; (3) “The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property”; (4) “The practice or regulation is unjust or unreasonable”; and (5) “The practice or regulation is the proximate cause of the claimed loss.” 46 C.F.R. § 545.4.

The complaint here fails at three steps. *First*, neither TTI nor its “practice” is the proximate cause of ACME’s claimed loss. ACME does not allege that it paid the cost of demurrage to TTI. Thus, any practice or regulation by TTI did not cause ACME any loss. *Second*, ACME fails to allege facts showing that any of the “claimed acts or omissions . . . are occurring on a normal, customary, and continuous basis.” The most ACME alleges is that “[r]espondent’s practices and regulations relating to the assessment of demurrage are directly related to receiving, handling, storing, or delivering property, are occurring on a normal, customary, and continuous basis, and are unjust and unreasonable.” Compl. ¶ 17. That is the definition of a conclusory allegation. *See Maher*

Terminals, LLC v. Port Auth. of N.Y. & N.J., No. 12-02, 2015 FMC LEXIS 43, at *20 (Dec. 18, 2015) (factual allegations must “show how, in the plaintiff’s mind, the dots should be connected” (quotation marks omitted)). And *third*, it is neither unjust nor unreasonable to charge demurrage for storing of containers that were ordered re-exported on an emergency basis and that added to port congestion during an international pandemic and a global supply chain crisis. ACME’s claim fails, and the complaint should be dismissed.

A. The complaint fails to allege facts showing that TTI is the proximate cause of the alleged injuries.

To properly plead a claim under § 41102(c) of the Shipping Act, ACME’s complaint must sufficiently allege that TTI’s “practice or regulation” is “the proximate cause of the claimed loss.” 46 C.F.R. § 545.4. ACME has not done so.

ACME never alleges that the company paid demurrage fees to TTI. See Compl. ¶ 12 (alleging only that ACME “did pay” the fees to an unnamed party). This omission was no oversight as publicly available tariffs show. To the extent ACME takes issue with those fees, its dispute lies with the party to whom it actually paid the demurrage (i.e., the carrier). Cf. *TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp.*, &

Evergreen Line Joint Serv. Agreement, No. 1966(I), 2021 WL 794708, at *10, 27, 2021 FMC LEXIS 233, at *23–24 (Feb. 19, 2021) (carrier was the proximate cause of trucker company’s injury where trucking company directly paid the carrier disputed per diem charges). The complaint simply fails to allege facts sufficient to show that TTI was the proximate cause of the alleged harm.

Perhaps ACME’s (unpleaded) theory is that ACME paid the demurrage to a carrier, that the carrier separately paid demurrage to TTI, and that this allows ACME to skip over the carrier and bring a complaint against TTI directly. Aside from the fact that MSC’s tariff shows MSC was charging demurrage in its own right (and not as an agent of TTI), that is not how proximate cause works. As the Commission explained, the interpretive rule on demurrage “might be relevant” where “marine terminal charges to ocean carriers are passed on to shippers and their agents via demurrage.” 85 Fed. Reg. at 29,650–51. “In those instances, however, the Commission would be assessing the reasonableness of *ocean carrier demurrage practices* vis-à-vis shippers, intermediaries, and truckers, not marine terminal operator practices” *Id.* (emphases added). Even if an ocean carrier

purportedly “passed on” TTI’s charges to ACME, the proper course would be for ACME to bring a complaint against the carrier.

Precedent on proximate cause confirms the Commission’s view. Proximate cause requires that there be an unbroken link between the alleged misconduct and injury. *See Bank of Am. Corp. v. City of Miami*, 137 S. Ct. 1296, 1305–06 (2017); *Wolf*, 555 F.3d at 321. In interpreting federal statutes that incorporate this common-law standard, “[t]he general tendency . . . is not to go beyond the first step.” *Bank of Am. Corp.*, 137 S. Ct. at 1306 (quoting *Hemi Grp., LLC v. City of New York*, 559 U.S. 1, 10 (2010)); *cf. City of Oakland v. Wells Fargo & Co.*, 14 F.4th 1030, 1038–40 (9th Cir. 2021) (no proximate cause for city alleging discriminatory lending practices diminished property tax revenue because harm did not flow “automatically” from lender’s actions and attributing liability to lender would “stretch[] proximate cause principles beyond the first step”). Here, the first step leads to the party to whom ACME paid the demurrage, not TTI. Because ACME failed to plead facts establishing proximate cause—and cannot plead facts establishing proximate cause—the complaint should be dismissed with prejudice.

B. ACME does not allege facts showing that any challenged acts occur on a normal, customary, and continuous basis.

Independently, ACME's complaint should be dismissed because the company does not allege that it is challenging any routine practice by TTI (and in fact ACME is challenging action by the carrier). The Shipping Act imposes a duty on carriers, marine terminal operators, and ocean transportation intermediaries "to establish, observe, and enforce just and reasonable *regulations* and *practices* relating to or connected with receiving, handling, storing, or delivering property." 46 U.S.C. § 41102(c) (emphasis added). To raise a claim under this statute, a complainant must establish that one of these actors did *not* establish, observe, or enforce just and reasonable regulations and practices. ACME has not done so.

ACME does not challenge the reasonableness of TTI's general demurrage practices and regulations. Nor does ACME argue that TTI failed to observe or enforce those practices and regulations. Rather, ACME argues that TTI should have waived MSC's tariffs (assuming it even had the authority to do so) because CBP discovered that ACME's containers did not contain personal protective equipment for first

responders, as claimed. Section 41102(c), however, does not apply to one-off situations.

The interpreting regulations drive this point home. A complainant must allege facts showing that the “claimed acts or omissions of the regulated entity are occurring on a *normal, customary, and continuous* basis.” 46 C.F.R. § 545.4(b) (emphasis added). ACME does not identify any other time that a similar scenario occurred, let alone how TTI responded.

The only allegation in ACME’s complaint that touches on this element is a conclusory recitation of the regulatory language: “Respondent’s practices and regulations relating to the assessment of demurrage are directly related to receiving, handling, storing, or delivering property, [and] are occurring on a normal, customary, and continuous basis, and are unjust and unreasonable.” Compl. ¶ 17. This is not enough to state a claim. As the Commission explained in *Port Elizabeth Terminal*, “[a] pleading that offers labels and conclusions or a formulaic recitation of the elements of a cause of action will not do.” 1 F.M.C.2d at 31 (quotation marks omitted). Where, as here, a complainant provides only “conclusory legal statements” with respect to

an element of the claim, it “fails to allege sufficient factual matter to state a plausible Shipping Act claim.” *Id.* at 41. ACME’s claim should be dismissed. *See id.* (dismissing the claim).

C. Had TTI collected demurrage from ACME, it would have been reasonable.

ACME does not allege that it paid demurrage charges to TTI. But had it done so, ACME’s claim would still fail because demurrage in these circumstances is more than reasonable under the facts pleaded in the complaint.

As the Commission has acknowledged in the past, demurrage is appropriate, even when containers are under government inspection. *See Free Time & Demurrage Charges at N.Y. (“NYT”),* 3 U.S.M.C. 89, 107 (FMC 1948) (attached as Exhibit B) (holding that ocean carriers are not required to extend free time for government inspections); *cf. Norfolk S. Ry. Co. v. Groves*, 586 F.3d 1273, 1276 (11th Cir. 2009) (explaining in the railroad context that “demurrage charges are properly assessed even if the cause for the delay is beyond the party’s control, unless the [charging party] itself is responsible for the delay”); *Shelter Forest Int’l Acquisition, Inc. v. COSCO Shipping (USA) Inc.*, 511 F. Supp. 3d 1118, 1124 (D. Or. 2021) (noting the “general rule” that “absence of fault in the shipper or

consignee is not sufficient to excuse it from liability for demurrage; rather, demurrage is incurred where there has been an excess of lay days over those stipulated, regardless of what brought about the delay” (cleaned up)); *CMA CGM S.A. v. AZAP Motors, Inc.*, No. 14cv504, 2015 WL 9601157, at *7, 2015 U.S. Dist. LEXIS 173788, at *19–20 (E.D. Va. Nov. 25, 2015) (enforcing demurrage charges even though Customs seized cargo), *R&R adopted*, 2016 WL 50926, 2016 U.S. Dist. LEXIS 132 (E.D. Va. Jan. 4, 2016).

Because the Shipping Act is concerned with establishing generally just *practices*, i.e., fair default rules, this makes sense. As a general matter, carriers, shippers, and consignees, are in the best position to move goods out of the terminal. This is true even where goods are subject to a government investigation. After all, those parties (not marine terminal operators) are the ones tasked with following import/export restrictions and resolving governmental concerns. And where these parties have brought in illegal goods or flouted import restrictions, *they* are responsible for re-exporting the goods. *See, e.g.*, Compl. ¶ 10 (noting that ACME worked to obtain required authorities to ship the containers back to Malaysia and to pay the freight for the container’s return).

Charging demurrage on containers that were presumably found to violate import regulations is not unreasonable.

To the extent ACME argues that FMC's interpretive rule has changed the FMC's prior judgment as applied here, that is wrong twice over:

First, an agency cannot overrule past precedent through an interpretive rule. Unlike legislative rules, interpretive rules merely “remind[]” parties of “existing duties” and cannot “create new . . . rights or duties.” *Gen. Motors Corp v. Ruckelshaus*, 742 F.2d 1561, 1565 (D.C. Cir. 1984) (quoting *Citizens to Save Spencer Cnty.*, 600 F.2d 844, 876 & n.153 (D.C. Cir. 1979)). Because the FMC has already concluded that demurrage during an inspection is reasonable in a published opinion, that alone resolves the inquiry.

Second, even if it did not, the FMC's interpretive rule expressly declined to adopt a per se rule that would ban or cap demurrage fees on goods while in government inspection. Instead, the FMC explained that it would “consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.” 46 C.F.R. § 545.5(c). The FMC may also

consider the extent to which demurrage serves to compensate terminal operators for the use of terminal space. 85 Fed. Reg. at 29,650–51; *see also* *NYI*, 3 U.S.M.C. at 109; *Volkswagenwerk Aktiengesellschaft v. FMC*, 390 U.S. 261, 282 (1968) (“the proper inquiry” is “whether the charge levied is reasonably related to the service rendered”).

Charging demurrage here serves the purpose of freight fluidity. Whatever the merit of charging demurrage during a routine government inspection that uncovers nothing problematic, charging demurrage for goods illegally brought into the United States is reasonable and appropriately aligns financial incentives. Freight fluidity is served by the quick movement of goods in and out of the port. Freight fluidity is hindered when containers linger on a terminal for months because they are filled with un-importable goods. To be clear, this is not a scenario where goods have been held up due to unforeseen circumstances. These goods were held by the government because they could not be lawfully brought into the United States. Companies should not be rewarded for importing containers filled with illegal goods.

ACME, MSC, Seamaster, and CMJ were all in a far better position than TTI to vet the containers before they arrived at TTI. Moreover,

these entities typically enter into contracts that govern who pays for costs associated with government inspections and for costs associated with “return[ing] cargo to the port of loading” when required by U.S. Customs. *See, e.g., CMA CGM S.A. v. Leader Int’l Express Corp.*, 474 F. Supp. 3d 807, 811 (E.D. Va. 2020) (quotation marks omitted).

Furthermore, charging demurrage here would have appropriately compensated the terminal operator for ten months of container storage. *See AZAP Motors, Inc.*, 2015 WL 9601157, at *6, 2015 U.S. Dist. LEXIS 173788, at *16 (“the productive value” of equipment “lies . . . in its use” (quotation marks omitted)). In interpreting a previous iteration of this statute, the Supreme Court explained that “the proper inquiry” is “whether the charge levied is reasonably related to the service rendered.” *Volkswagenwerk Aktiengesellschaft*, 390 U.S. at 282. Here, it was. TTI stored the containers (full of fraudulent goods) for nearly ten months before ACME re-exported the containers to Malaysia. The reason for the delay had nothing to do with unforeseeable weather or unexpected government inspections, nor with a port or terminal closure, but rather with a bad actor’s attempt to commit fraud. It is more than reasonable for the consignee to pay for the space its containers occupied.

The reasonableness of demurrage is even more apparent in the context of the ongoing supply chain crisis and COVID-19 pandemic. Congestion at ports has created a “crisis” for the nation’s “hospitals and other care settings” by delaying the delivery of critical medical supplies. Tina Reed, *New supply chain crisis: medical supplies*, Axios (Dec. 26, 2021).⁶ In response to this crisis, the Biden Administration “worked with the Ports of Los Angeles and Long Beach to develop new fees” for “long-dwelling import containers [that] had been causing delays in getting goods to shelves while increasing port congestion.” Press Release, The White House, *Fact Sheet: Lowering Prices and Leveling the Playing Field in Ocean Shipping* (Feb. 28, 2022).⁷ As the White House’s proposal shows, charges for containers that remain on a terminal for months on end are reasonable.

V. CONCLUSION

ACME failed to plead a cognizable claim against TTI. Because ACME filed a complaint against the wrong party, dismissal with

⁶ <https://www.axios.com/supply-chain-crisis-medical-supplies-covid-69287c7a-3c11-4401-9ee3-3478c3a9ab90.html>.

⁷ <https://www.whitehouse.gov/briefing-room/statements-releases/2022/02/28/fact-sheet-lowering-prices-and-leveling-the-playing-field-in-ocean-shipping/>.

prejudice is appropriate to avoid futile discovery practice and briefing when any dispute is actually between ACME and the party to whom it paid demurrage.

Dated: April 29, 2022

Respectfully submitted,

/s/ Joseph N. Akrotirianakis

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Counsel for Respondent

Verification Pursuant to 46 C.F.R. § 502.6

I, Robert Johnson, declare as follows:

1. I am the Chief Executive Officer of Total Terminals International, LLC.
2. I am duly authorized to make this verification of behalf of Total Terminals International, LLC.
3. I have read the contents of the Motion to Dismiss in FMC Docket No. 22-07 attached hereto, and I verify under penalty of perjury under the laws of the United States of America that the foregoing motion to dismiss is true and correct to the best of my knowledge, information, and belief.

Date: 4/29/22



Robert Johnson, CEO
Total Terminals International, LLC

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 29th day of April, 2022, a true and correct copy of the foregoing Motion to Dismiss was served via email on:

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/s/ Joseph N. Akrotirianakis
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Exhibit A

A. DEMURRAGE

This sub-rule sets out the charge for the use of land assessed on the container for remaining inside the marine terminal after the expiration of the free time until the container is delivered to the lawful receiver of the goods or its representatives (demurrage charges), unless the carrier has agreed to different terms, in writing, which may be more favorable to the merchant, in which case such terms shall apply.

A.1 IMPORT CONTAINERS

The merchant is liable for demurrage charges assessed on the import containers, which will be charged only once to the cargo interest by either the marine terminal operator or the carrier. In the event the carrier charges the merchant, the demurrage charges will be calculated as set forth below. In the event the marine terminal operator charges the merchant, the demurrage charges will be calculated as set forth below or as set forth in the marine terminal operator's public tariff. Currency: USD

Tariff to be applied to import containers at terminal in all ports except Baltimore.

Ctr Size Type	Free days	1 st period number of days	1 st period rate	2 nd period number of days	2 nd period rate	Thereafter rate
20DV	4 Working Days	5	\$65	0	\$0	\$120
40DV	4 Working Days	5	\$80	0	\$0	\$150
40HC	4 Working Days	5	\$80	0	\$0	\$150
20SP	4 Working Days	5	\$200	0	\$0	\$250
40SP	4 Working Days	5	\$200	0	\$0	\$250
20RE	2 Working Days	3	\$275	0	\$0	\$360
40RE	2 Working Days	3	\$275	0	\$0	\$360
40HR	2 Working Days	3	\$275	0	\$0	\$360
45HC	4 Working Days	5	\$80	0	\$0	\$150

Unplugged controlled tank containers have the same conditions as a special container.

A.1.1 Tariff to be applied to import containers at terminal for the port of Baltimore.

Ctr Size Type	Free days	1st period number of days	1st period rate	2nd period number of days	2nd period rate	Thereafter rate
20DV	4 Working Days	5	\$65	0	\$0	\$120
40DV	4 Working Days	5	\$80	0	\$0	\$150
40HC	4 Working Days	5	\$80	0	\$0	\$150
20SP	4 Working Days	5	\$200	0	\$0	\$250
40SP	4 Working Days	5	\$200	0	\$0	\$250
20RE	2 Working Days	3	\$275	0	\$0	\$360
40RE	2 Working Days	3	\$275	0	\$0	\$360
40HR	2 Working Days	3	\$275	0	\$0	\$360
45HC	4 Working Days	5	\$80	0	\$0	\$150

Unplugged controlled tank containers have the same conditions as a special container.

C. DETENTION

This sub-rule sets out the charge assessed for the use of the carrier's container while the container remaining inside the marine terminal or railroad facilities or container yard or while the container is undergoing U.S customs examination, or while the container undergoing reworking of cargo inside the container for safety reasons, after the expiration of free time until the container has been delivered to the lawful receiver of the goods or its representatives (detention charges), unless the carrier has agreed to different terms, in writing, which may be more favorable to the merchant, in which case such terms shall apply.

C.1 IMPORT CONTAINERS

The merchant is liable for the detention charges assessed on import containers, which will be charged as set forth below either by the marine terminal operator or by the Carrier.

C.1.1 MARINE TERMINAL

C.1.1.2 Tariff to be applied to import containers at container yard in all Ports except New York.
Currency: US

Ctr Size Type	Free days	1st period number of days	1st period rate	2nd period number of days	2nd period rate	Thereafter rate
20DV	4 Working Days	5	\$165	0	\$0	\$195
40DV	4 Working Days	5	\$165	0	\$0	\$195
40HC	4 Working Days	5	\$165	0	\$0	\$195
20SP	4 Working Days	5	\$215	0	\$0	\$265
40SP	4 Working Days	5	\$215	0	\$0	\$265
20RE	2 Working Days	3	\$215	0	\$0	\$285
40RE	2 Working Days	3	\$215	0	\$0	\$285
40HR	2 Working Days	3	\$215	0	\$0	\$285
45HC	4 Working Days	5	\$165	0	\$0	\$195

C.1.1.3 Tariff to be applied to import containers at container yard in the Port of New York.

Ctr Size Type	Free days	1st period number of days	1st period rate	2nd period number of days	2nd period rate	Thereafter rate
20DV	4 Working Days	4	\$125	0	\$0	\$175
40DV	4 Working Days	4	\$125	0	\$0	\$175
40HC	4 Working Days	4	\$125	0	\$0	\$175
20SP	2 Working Days	3	\$125	0	\$0	\$160
40SP	2 Working Days	3	\$125	0	\$0	\$160
20RE	2 Working Days	3	\$125	0	\$0	\$215
40RE	2 Working Days	3	\$125	0	\$0	\$215
40HR	2 Working Days	3	\$125	0	\$0	\$215
45HC	4 Working Days	4	\$125	0	\$0	\$175

C.1.2 RAILROAD FACILITIES

C.1.2.1 Free time for import containers at rail road facility: as per rail road operators tariff

C.1.2.2 Tariff for import containers at railroad facilities with the exception of BNSF Cicero Ramp, BNSF Corwith Ramp, Florida East Coast Railroad (Fort Lauderdale - FL, Jacksonville - FL, Miami - FL), BNSF Hobart Ramp, CSX (Memphis - TN, Miami - FL, Worcester, MA), BNSF (Phoenix - AZ, Portland - OR, St. Louis - MO).

Ctr Size Type	Free days	1 st period number of days	1 st period rate	2 nd period number of days	2 nd period rate	Thereafter rate
20DV	Same day of notification + 48 hours	5	\$165	0	\$0	\$195
40DV	Same day of notification + 48 hours	5	\$165	0	\$0	\$195
40HC	Same day of notification + 48 hours	5	\$165	0	\$0	\$195
20SP	Same day of notification + 48 hours	5	\$215	0	\$0	\$265
40SP	Same day of notification + 48 hours	5	\$215	0	\$0	\$265
20RE	Same day of notification + 48 hours	3	\$215	0	\$0	\$285
40RE	Same day of notification + 48 hours	3	\$215	0	\$0	\$285
40HR	Same day of notification + 48 hours	3	\$215	0	\$0	\$285
45HC	Same day of notification + 48 hours	4	\$165	0	\$0	\$195

C.1.2.3 Tariff for import containers at railroad facilities for the following rail ramps: BNSF Cicero Ramp, BNSF Corwith Ramp, Florida East Coast Railroad (Fort Lauderdale - FL, Jacksonville - FL, Miami - FL), BNSF Hobart Ramp, CSX (Memphis - TN, Miami - FL, Worcester, MA), BNSF (Phoenix - AZ, Portland - OR, St. Louis - MO).

Ctr Size Type	Free days	1 st period number of days	1 st period rate	2 nd period number of days	2 nd period rate	Thereafter rate
20DV	Same day of notification + 24 hours	5	\$165	0	\$0	\$195
40DV	Same day of notification + 24 hours	5	\$165	0	\$0	\$195
40HC	Same day of notification + 24 hours	5	\$165	0	\$0	\$195
20SP	Same day of notification + 24 hours	5	\$215	0	\$0	\$265
40SP	Same day of notification + 24 hours	5	\$215	0	\$0	\$265
20RE	Same day of notification + 24 hours	3	\$215	0	\$0	\$285
40RE	Same day of notification + 24 hours	3	\$215	0	\$0	\$285
40HR	Same day of notification + 24 hours	3	\$215	0	\$0	\$285
45HC	Same day of notification + 24 hours	4	\$165	0	\$0	\$195

D. PER DIEM

This sub-rule sets out the charges assessed by the carrier, after the expiration of the free time, for the use of the Carrier's container (full or empty) outside of the marine terminal, rail road or container yard facilities until it is returned to the carrier's custody at the carriers designated place of return (per diem charges), unless the carrier has agreed to different terms, in writing, which may be more favorable to the merchant, in which case such terms shall apply. The per diem charges are for the merchant account, except that the carrier will invoice merchant truckers providing they are holders of a legitimate executed interchange agreement with the carrier. The merchant remains liable for the charges up to the return of the container into carrier's custody at the carriers designated place of return, until the charges have been paid by the trucker, regardless of whether the relevant trucker has executed an interchange agreement.

D.1.2 Tariff for import full containers at rail ramp and marine terminal.

Currency: USD

Ctr Size Type	Free days	1 st period number of days	1 st period rate	2 nd period number of days	2 nd period rate	Thereafter rate
20DV	4 Working Days	4	\$135	4	\$185	\$215
40DV	4 Working Days	4	\$135	4	\$185	\$215
40HC	4 Working Days	4	\$135	4	\$185	\$215
20SP	3 Working Days	3	\$300	0	\$0	\$400
40SP	3 Working Days	3	\$300	0	\$0	\$400
20RE	3 Working Days	3	\$310	0	\$0	\$400
40RE	3 Working Days	3	\$310	0	\$0	\$400
40HR	3 Working Days	3	\$310	0	\$0	\$400
45HC	3 Working Days	4	\$135	4	\$185	\$215

D.2 Export – Free time for export full containers delivered at rail Ramp and marine terminal

D.2.2 Tariff for export full containers at rail ramp and marine terminal

Currency: USD

Ctr Size Type	Free days	1st period number of days	1st period rate	2nd period number of days	2nd period rate	Thereafter rate
20DV	4 Working Days	4	\$135	4	\$185	\$215
40DV	4 Working Days	4	\$135	4	\$185	\$215
40HC	4 Working Days	4	\$135	4	\$185	\$215
20SP	3 Working Days	3	\$300	0	\$0	\$400
40SP	3 Working Days	3	\$300	0	\$0	\$400
20RE	3 Working Days	3	\$310	0	\$0	\$400
40RE	3 Working Days	3	\$310	0	\$0	\$400
40HR	3 Working Days	3	\$310	0	\$0	\$400
45HC	3 Working Days	4	\$135	4	\$185	\$215

D.3. Bare chassis equipment standard period of use: 2 working days
Excess period: \$95 per day thereafter

D.4. Per diem rates after the non-standard free time

E. Combined detention charges this sub-rule sets out the charge assessed for the use of the carrier's container (full or empty) inside and outside the marine terminal or rail road facility or container yard after the expiration of the combined detention free time until the container is returned to the carrier's custody at the carriers designated place of return (combined Detention charges), unless the carrier has agreed to different terms, in writing, which may be more favorable to the merchant, in which case such terms shall apply.

E.1 Import containers discharged in the port of San Juan, Puerto Rico the merchant is liable for the combined detention charges assessed on import containers discharged in the port of San Juan in Puerto Rico, which will be calculated as set forth below:

After the expiration of free time, the following charges will apply:
Currency: USD

Ctr Size Type	Free days	1st period number of days	1st period rate	2nd period number of days	2nd period rate	Thereafter rate
20DV	8 Calendar days	5	\$55	0	\$0	\$110
40DV	8 Calendar days	5	\$55	0	\$0	\$110
40HC	8 Calendar days	5	\$55	0	\$0	\$110
20SP	6 Calendar days	5	\$70	0	\$0	\$150
40SP	6 Calendar days	5	\$70	0	\$0	\$150
20RE	5 Calendar days	5	\$110	0	\$0	\$220
40RE	5 Calendar days	5	\$110	0	\$0	\$220
40HR	5 Calendar days	5	\$110	0	\$0	\$220
45HC	8 Calendar days	5	\$55	0	\$0	\$110

F. Special conditions unless otherwise provided in this rule:

Where the carrier has agreed to a free time (extended free time) that is longer than the applicable standard free time set out in this rule (standard free time) without specifying the applicable demurrage charges and/or storage charges and/or detention charges and/or combined detention charges (as applicable) after the extended free time, the merchant shall start paying the charge as set out in this rule for each day after the extended free time has expired, until the day the container has been delivered to the lawful receiver of the goods or its representative(s) and/or returned to the carrier's custody at the carrier's designated place of return(as applicable). The extra free days granted with the extended free time in comparison (extra free days) shall count as chargeable days for the calculation of the charges, except that no charge will be assessed on the said extra free days.

Exhibit B

UNITED STATES MARITIME COMMISSION

No. 659

FREE TIME AND DEMURRAGE CHARGES AT NEW YORK

Submitted July 7, 1948. Decided October 19, 1948

Regulations and practices concerning free time and demurrage on import property at the port of New York found unjust and unreasonable in certain respects and not unjust or unreasonable in others.

Gustave Springer for Commerce and Industry Association of New York, Inc., American Spice Trade Association, Association of American Woodpulp Importers, American Watch Assemblers' Association Inc., Burlap and Jute Association, Cotton Importers Association, Inc., Hard Fibers Association, Lace and Embroidery Association, Linen Trade Association, Inc., National Council of American Importers, Inc., National Association of Importers of Hides and Skins, Oriental Rug Importers Association, Rubber Trade Association of New York, Shippers Conference of Greater New York, Tapioca Institute of America, and Tea Association of the United States.

C. A. Pascarella for Association of Food Distributors, Inc.

De Witt C. Reed for Association of American Importers of Green Olives.

George E. Shapro for the Hills Brothers Company.

William M. Fenn and *David S. Smith* for Green Coffee Association of New York City, Inc., and Cocoa Merchants Association of America, Inc.

Thomas J. Semler for United States Rubber Company.

Charles E. Egan for Spanish Olive Packers.

William M. Knox for Buckley Dunton Pulp Co., Inc.

Daniel J. Pitot for Price & Pierce, Ltd.

W. E. Aebischer for Great Atlantic & Pacific Tea Company.

Herbert M. Simon for American Bleached Shellac Manufacturers Association.

C. W. Mawer, Jr. for Mawer-Gulden-Annis, Inc.

Shirley Rief for New York Association of Dealers in Paper Mills' Supplies, Inc.

H. E. Simpson for Brookhattan Trucking Co., Inc.

Joseph M. Adelizzi for Motor Carrier Association of New York.

Wilbur La Roe, Jr., Frederick E. Brown, Arthur L. Winn, Jr., and Samuel H. Moerman for Port of New York Authority.

A. C. Welsh for Brooklyn Chamber of Commerce.

Charles H. Toll, Jr. for Port of Boston Authority.

Samuel H. Williams for Chamber of Commerce of Philadelphia.

Charles McD. Gillan for Baltimore Association of Commerce.

Roscoe H. Hupper and Burton H. White for Trans-Atlantic Associated Freight Conferences.

Parker McCollester and John R. Mahoney for carriers named in footnote 7.

Herman Goldman, Elkan Turk, Leo E. Wolf, and Elkan Turk, Jr. for carriers named in footnote 8.

William Radner and Odell Kominers for carriers named in footnote 9.

Harold B. Finn for carriers named in footnote 10.

David H. Sackett for Calcutta-U. S. A. Conference.

Paul D. Page, Jr. and George F. Galland for the Commission.

REPORT OF THE COMMISSION

BY THE COMMISSION:

Exceptions were filed to the recommended decision of the examiner and oral argument was heard. Our conclusions agree in part with, and differ in part from, those of the examiner.

This is a rule-making proceeding instituted by the Commission on its own motion pursuant to sections 17 and 22 of the Shipping Act, 1916, and section 4 (a) of the Administrative Procedure Act. The notice of hearing¹ stated in part that "The Commission desires to receive evidence of conditions in the port relevant to [free time and demurrage at New York] for use in determining what action, if any, is required to assure the establishment, observance, and enforcement of just and reasonable regulations and practices," and directed that public hearings be held at which interested persons might express their views.

Section 22 of the Shipping Act, 1916, authorizes the Commission to investigate "any violation of this Act." Section 17 of the Shipping

¹ Published in the Federal Register on June 7, 1947, 12 F. R. 3754.

Act, 1916, requires, in its pertinent part,² that every common carrier by water in foreign commerce and every other person subject to this Act "shall establish, observe, and enforce just and reasonable regulations and practices relating to or connected with the receiving, handling, storing, or delivering of property," and that: "Whenever the board [i. e., the Commission] finds that any such regulation or practice is unjust or unreasonable, it may determine, prescribe, and order enforced a just and reasonable regulation or practice."³ Section 4 (a) of the Administrative Procedure Act provides for notice of rule-making proceedings.

The question for consideration is whether, as to property transported to the port of New York by "common carriers by water in foreign commerce," as defined in section 1 of the Shipping Act, 1916,⁴ the carriers' regulations and practices are unjust or unreasonable with respect to (a) adequacy of the free time,⁵ (b) the time of commencement of free time and the giving of notice of readiness of goods for removal from pier, (c) the inclusion in free time of periods during which consignees, due to circumstances beyond their control, are unable to remove cargo from pier, or (d) the charging of the full amount of demurrage⁶ where consignees, due to circumstances beyond their control, are unable to remove cargo from the pier.

Numerous carriers contend that the matter of sufficient free time is not one within the purview of the second paragraph of section 17. Thus, on behalf of the Trans-Atlantic Associated Freight Conferences it is asserted that "the question is one of reasonableness and this must involve the reasonableness of the charge, whether it be in terms of amount or in terms of time pursuant to which the amount is determined" and that "Congress has granted to the Commission no authority

² As agreed at a prehearing conference, the only part of section 17 involved in this proceeding is the second paragraph of that section.

³ Counsel for several carriers attacked our jurisdiction on the ground that the notice of hearing failed to charge a violation of the Shipping Act, 1916. Their argument misses the point of the proceeding, which has for its purpose the prescription of reasonable regulations and practices for the future. Our finding that certain regulations and practices presently in effect are unjust and unreasonable (and to that extent violative of the Act) is a conclusion based on the record *after* consideration of the evidence. We cannot concede that we lack jurisdiction because of our failure to assume and charge a violation *before* considering the evidence.

⁴ Section 1 of the Shipping Act, 1916, defines the term "common carrier by water in foreign commerce" to mean a common carrier, except ferryboats running on regular routes, engaged in the transportation by water of passengers or property between the United States or any of its Districts, Territories, or possessions and a foreign country, whether in the import or export trade: *Provided*, That a cargo boat commonly called an ocean tramp shall not be deemed such "common carrier by water in foreign commerce."

⁵ The free time in question is a period which is covered by the rates for the ocean transportation and which is allowed for the removal of the property from pier after its discharge from vessel.

⁶ The demurrage in question is a charge on cargo on pier after free time has expired.

to regulate foreign rates and charges." Also, other carriers⁷ reason: "Since the Commission is thus without authority to require a reduction in a rate for water transportation from a foreign country to the United States or to prescribe a maximum reasonable rate for such service, it must follow that it is likewise without jurisdiction to require a carrier to extend its free time and thus, in effect, determine that the transportation rate is unreasonable because a greater free time is not afforded." In the brief of the Inward Far East Lines⁸ it is argued as follows:

If the Commission should attempt to rule that the period of free time must be enlarged, then the Commission would be ruling that during a certain number of days the carriers are prohibited from making a charge for the use of their facilities. In other words, the Commission would be fixing zero dollars as the charge which the carriers must make during such extended period for the use of its facilities and the services rendered in connection therewith. Such an order would constitute rate making, pure and simple.

The Commission has obviously no more power to order a carrier in foreign commerce to charge zero dollars for the use of its property and the rendition of its services than it has to order the carrier to charge \$1.00 or \$2.00 or any other sum, for the use of its property and for such services.

The Shipping Act of 1916 and the subsequent statutes which have vested authority in the Commission may be searched in vain for any trace or suggestion of authority to fix rates.

Other carriers,⁹ stating that the second paragraph of section 17 cannot be held to authorize fixing the charge for the service rendered, contend that "Likewise, there is no authority therein to fix the service to be rendered for the charge." Still others¹⁰ assert that section 17 does not

⁷ Alcoa Steamship Company, Bermuda & West Indies Steamship Company, Ltd., Compania Colombiana De Navegacion Maritima (Coldemar Line), Compania Sud Americana De Vapores (Chilean Line), Compania Trasatlantica (Garcia & Diaz, as Agents), Compagnie Generale Transatlantique (French Line), Grace Line, Inc. (Grace Line), Flota Mercante Grancolombiana, S. A. (Grancolombiana Inc., Agents), J. Lauritzen (West Coast Line, Inc., as Agents), New York & Cuba Mail Steamship Co., North Atlantic & Gulf Steamship Company, Inc., Panama Railroad Company (Panama Line), Royal Netherlands Steamship Co., Standard Fruit & Steamship Co., United Fruit Company, and West Coast Line, Inc.

⁸ American President Lines, Ltd.; Bank Line, Ltd. (Bank Line); Dampskibsselskabet Af 1912 Aktieselskab and Aktieselskabet Dampskibsselskabet Svendborg (Moller Steamship Company, Inc.); The De La Rama Steamship Co., Inc., and Swedish East Asiatic Co. Ltd. (De La Rama Lines); Ellerman & Bucknall Steamship Co. Ltd. (American & Manchurian Line); Fearnley & Eger and A. F. Klaveness & Co. A/S (Fern Line); Isthmian Steamship Company; Lancashire Shipping Company, Ltd. (Dodwell-Castle Line); N. V. Stoomvaart-Maatschappij "Nederland"; N. V. Nederlandsche Amerikaansche Stoomvaart Maatschappij "Holland-America Lijn"; N. V. Rotterdamsche Lloyd; The Ocean Steam Ship Company, Ltd., The China Mutual Steam Navigation Co. Ltd., and Nederlandsche Stoomvaart Maatschappij "Oceaan" (Blue Funnel Line); Prince Line, Ltd. (Prince Line); Silver Line, Ltd.; Skibsaktieselskabet Igadi A/S Besco and Aktieselskabet Ivaran Rederi (Ivaran Lines—Far East Service); T. & J. Brocklebank, Ltd.; United States Lines Company (American Pioneer Line); Waterman Steamship Corporation; Wilhelmsens Dampskibsaktieselskab, A/S Don Norska—Og Australielinie, A/S Tonsberg, A/S Tankfart I, A/S Tankfart IV, A/S Tankfart V, and A/S Tankfart VI (Barber Steamship Lines, Inc., Agent).

⁹ The New York and Porto Rico Steamship Company and Bull Insular Line, Inc.

¹⁰ The Booth Steamship Company, Ltd.; Rederiaktiebolaget Disa, Rederiaktiebolaget Poseidon, and Angfartygsaktiebolaget Tirfing (Brodin Line); Flota Mercante del Estado;

authorize the Commission "to prescribe either minimum free-time allowances or maximum demurrage charges for the port of New York."

As previously noted, section 17 provides that, whenever the Commission finds that certain regulations or practices are unjust or unreasonable, it may determine, prescribe, and order enforced a just and reasonable regulation or practice. This constitutes an "unlimited grant to the Commission of the power to stop effectively all unjust and unreasonable practices in receiving, handling, storing or delivering property." *California v. United States*, 320 U. S. 577, 584. The court in that case affirmed the judgment in *State of California v. United States*, 46 F. Supp. 474, 479 (which in turn upheld an order of this Commission in Docket No. 555, *Practices of San Francisco Bay Area Terminals*, 2 U. S. M. C. 588), wherein it was held that "The allowance of free time is a 'regulation or practice' within the contemplation of § 17." True, as some of the carriers point out, that case concerned an order of the Commission which set a *maximum* free time whereas here involved is the question of whether the free time allowed is long enough. The distinction, however, is of no consequence so far as the instant jurisdictional question is concerned. Minimum free time, and demurrage practices as well, come within the broad scope of that language.

We are not here seeking to exercise rate-making power. The question before us is whether certain regulations and practices are just and reasonable—not how much the services of the carriers are worth. We held in Docket No. 555, *Practices of San Francisco Bay Area Terminals*, 2 U. S. M. C. 588, *affd.*, *California v. U. S.*, 320 U. S. 577, that carriers are bound to impose compensatory demurrage charges after the expiration of reasonable free time. If the currently effective tariff rates of demurrage are not compensatory, new rates should be published which are compensatory. We make no finding in this case as to whether existing rates are compensatory or not.

International Freighting Corp., Inc.; A/S Liso, A/S Besco, and Aktieselskapet Ivarans Rederi (Ivaran Lines); Lampart & Holt Line, Ltd.; Linea Sud-Americana, Inc., Lloyd Brasileiro (Patrimonia Nacional); Moore-McCormack Lines, Inc.; Northern Pan-America Line A/S; Prince Line, Ltd.; Rederiaktiebolaget Svenska Lloyd, Stockholms Rederiaktiebolag Svea, and Rederiaktiebolaget Frederika (Norton Line—Joint Service); Sprague Steamship Agency, Inc.; Svenska Brazil La Plata Linjen; Wilh. Wilhelmsen, and Cia Argentina de Navegacion Doderio, S. A., all parties to United States Maritime Commission Agreement No. 7525; American Export Lines, Inc.; The Bank Line Limited; Ellerman & Bucknall Steamship Co., Ltd.; Isthmian Steamship Company; Thos. & Jno. Brocklebank, Ltd.; Seindia Steam Navigation Co., Ltd.; States Marine Corporation, and States Marine Corporation of Delaware, all parties to United States Maritime Commission Agreement No. 7555; The Union-Castle Mail Steamship Company, Ltd.; The Clan Line Steamers, Ltd.; British and South American Steam Navigation Company, Ltd.; Prince Line, Ltd.; and American South African Line Inc., all parties to United States Maritime Commission Agreement No. 7575, to which, as well as Agreement No. 7555, Ellerman & Bucknall Steamship Company, Ltd., also, is a party.

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Motions to dismiss the proceeding for want of jurisdiction are denied.

Prior to 1937, cargo imported from foreign countries was allowed to remain on piers at the port of New York for indefinite periods. On November 16 of that year, the Commission, in Docket No. 221, *Storage of Import Property*, 1 U. S. M. C. 676, entered an order requiring respondents in that proceeding "to cease and desist, on or before January 21, 1938, from allowing more than ten (10) days' free time (exclusive of Sundays and legal holidays) on import property at the port of New York." While set as a maximum, this period, between the effective date of the order and 1941, was the free time that carriers actually allowed. In 1941, as stated in the notice instituting the instant proceeding, the Commission, for the purpose of minimizing congestion of the port in the interest of national defense, requested that the free time be reduced, and, in accordance with such request, a period of five days was generally put into effect. On property imported from South America or the Caribbean area, a period of six days was fixed as the free time. These periods are still in force. When they were established, Sunday and legal holidays were excluded therefrom, but they included Saturday. Since then, Saturday has been eliminated. It is these periods of five and six days, exclusive of Saturday, Sunday, and legal holidays, that are here in question. They commence at 8:00 A. M. of the day following completion of vessel's discharge of cargo, unless that day is a Saturday, Sunday, or legal holiday, and, if it is such, they begin at 8:00 A. M. of the first day after such completion that is not a Saturday, Sunday, or legal holiday. Under provisions of tariffs filed with the Commission, the commencement of free time may be deferred if shipments are not available to consignees upon application therefor. Cargo remaining on piers after the free time has expired is charged demurrage as follows: 2½ cents per 100 pounds or 1 cent per cubic foot (in some cases, 3½ cents per bag of 60 kilos) for the first five calendar days or fraction thereof, minimum 50 cents; 5 cents per 100 pounds or 2 cents per cubic foot (in some cases, 7 cents per bag of 60 kilos) for the second five calendar days or fraction thereof, minimum \$1; 10 cents per 100 pounds or 4 cents per cubic foot (in some cases, 14 cents per bag of 60 kilos) for each succeeding five (in some cases, 10) calendar days or fraction thereof, minimum \$2 for each period.¹¹

¹¹ Demurrage is computed on the basis on which the cargo is freighted, except that, in some trades, if the cargo is freighted on a basis other than weight or measurement, the charges are computed on a weight or measurement basis, whichever yields the greater revenue.

Importers seek a minimum free time of ten days.¹² The Port of New York Authority proposes that the present free time be enlarged to seven days, exclusive of Saturday, Sunday, and legal holidays, on general cargo, and to the maximum ten-day period on coffee and cocoa beans.¹³ The carriers' position is that the free-time periods now in effect are just and reasonable.

Before the unloading of cargo from ship to pier may be begun, permission to make the discharge must be secured from the collector of customs. Such permission is obtained after the ship's captain makes entry of the vessel, which he is required to do within 48 hours after the ship's arrival at quarantine. Likewise under customs laws and regulations, an importer is allowed 48 hours after such arrival to make entry of his goods.¹⁴ Excluded from this period, which may be extended, are the day of arrival of the vessel at quarantine, Saturdays, Sundays, and legal holidays. If entry of the goods is not made within the time allowed therefor, which seldom occurs, customs, at the expense of the importer, sends them to a "general order" warehouse, which is a private warehouse designated by the collector of customs.

When entry of merchandise is made before 2 o'clock in the afternoon, the permit copy of the entry, bearing orders of the collector, is sent to the customs inspector on the pier, usually by means of government messenger,¹⁵ on the same day. This informs the inspector as to whether the importer may remove the goods from the pier. If there are no further customs requirements to be met, except the singling out of packages for the appraiser's stores, and if the collector does not order the goods to be held for another government agency, such as the Food and Drug Administration of the Federal Security Agency or the Bureau of Entomology and Plant Quarantine of the United States Department of Agriculture, the importer, as far as customs is concerned, may remove them, with the exception of the packages designated to be sent to the appraiser's stores, as soon as they are discharged from the ship.

Goods are weighed by customs if ascertainment of their weight is necessary to find their value for the purpose of assessing duty. In such

¹² It is asked that Saturday, as well as Sunday and legal holidays, be excluded, but, if this request should be granted, the minimum would exceed the period ordered in *Storage of Import Property*, *supra*, to be observed as a maximum and agreed at the prehearing conference to be generally satisfactory as such.

¹³ The suggested discrimination in favor of coffee and cocoa beans would violate our decision in Docket No. 482, *Storage Charges Under Agreements 6205 and 6215*, 2 U. S. M. C. 48, *affd.*, *Booth S. S. Co. v. U. S.*, 29 F. Supp. 221.

¹⁴ It appears that entry may be made in respect to perishable merchandise in advance of the report of the vessel at quarantine.

¹⁵ The importer may employ his own messenger.

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cases, the carriers must place the merchandise on the piers so that it is not above shoulder height. Where the packages are uniform, approximately ten percent of the consignment is weighed. An effort is made to weigh the merchandise before the importers come for it, but in the last few years this could not generally be done because of the congestion on piers. Several days may intervene between the time of unloading of cargo from ship to pier and the time when pier conditions are such that it can be weighed. As stated by a customs witness, "we receive the greatest cooperation from the steamship people, but in many cases it is just a case where they have just no place to put it. They have no space to put these goods after they are weighed. So, we must wait until we get that space before we can even start on it." Where, due to such a condition, the weighing cannot be undertaken before the importer comes for his merchandise, customs resorts to "weighing to delivery," i. e., weighing as trucks arrive and are in a position to load. In cases where importers make the necessary arrangements with bonded warehouses, customs will weigh shipments there, but it is very seldom that space for weighing can be obtained at a warehouse.

At times, the necessity of weighing precludes the removal of cargo from piers within the free time. It does not result from this, however, that the free-time periods are unlawful. The weighing is not done for any reason that concerns the carriers but is an operation connected with a transaction between the importer and customs. It requires space in addition to that needed for the delivery of cargo. The delays which it entails are not attributable to the carriers and to make no allowance in the computation of free time for the time consumed on account of it is not unjust or unreasonable.

Samples to be sent to the appraiser's stores are taken, pursuant to order of the collector, by the inspector on the pier or by a sampler. They are conveyed to the appraiser's stores by government truck. It does not appear that the drawing of a sample causes the rest of the consignment to remain on pier after the expiration of free time. The evidence indicates that the government truck does not come to the piers for samples as promptly as it should and that some difficulty is experienced in finding particular packages that have been designated for the appraiser's stores. These matters, like weighing, are not factors that carriers are required to consider in fixing the duration of free time. Consequently, that samples remain on the piers after the expiration of free time because of them is not an indication that the free time allowed is unjust or unreasonable.

Imports may require sampling by the Food and Drug Administration. Whether cargoes contain commodities of such character is determined by inspection of the ships' manifests and of consular invoices. Several times a day an employee of the Food and Drug Administration examines the consular invoices in the invoice room of the appraiser's stores, to which they are routed from the customhouse as soon as customs entry of the invoiced shipments is made if there is not also to be a sampling made by the appraiser. If the appraiser decides to examine a portion of a shipment, the invoice in such case does not reach the appraiser's stores and so become available to the Food and Drug Administration until the sample for the appraiser's examination arrives there. This makes for delay. On 100 entries taken at random for a period in September 1947, the average time in customs of the invoices, i. e., the average time, including Saturdays and Sundays, between entry of shipments and availability of invoices to the Food and Drug Administration in the invoice room of the appraiser's stores, was 2.1 days. The time varied from a minimum less than a day, where the Food and Drug Administration received the invoice on the same day as the date of entry, to a maximum of ten days, which occurred once. The time consumed by the Food and Drug Administration from the time when it received the invoices from customs ranged from one day to eleven days, and averaged 4.6 days. Because of the type of examination which particular samples may require, the Food and Drug Administration may need up to three weeks to make its tests. Whether due to customs procedure or to the requirements of the Food and Drug Administration, or to both, the fact is that sampling by this agency is not always completed before free time commences or even before it expires. However, as testified by a witness from the Food and Drug Administration, the agency does not require goods to be left on the piers pending sampling by it. They are covered by a bond, may be removed as soon as the customs permit is issued, and inspected later. It is pointed out that, if an importer should ship goods to an inland point and they should thereafter be condemned, they would have to be transported back to New York. However, the carriers can hardly be required to accommodate cargo on their piers free of charge because it may fail to conform to the standard applicable to it. Moreover, while the Food and Drug Administration strongly recommends against the removal of goods beyond the port area, it will undertake to sample anywhere within that area. In fact, it is estimated that approximately one-fourth of the agency's samples are collected from shipments that have been removed from the piers and stored on importers' premises or in warehouses. Im-

porters refer to the scarcity of available warehouse space and to the expense involved in warehousing merchandise awaiting sampling, such as the cost of its transfer from pier and the charge made for labor at the warehouse, in addition to the storage charge. Such circumstances, however, have no effect on their ability to remove cargo from piers. They may cause them to decide that it is prudent to delay such removal, but it cannot be said that, on account of them, the free time allowed is unjust or unreasonable.

A person making entry of commodities subject to plant-quarantine regulations is required to give notice of the arrival of such plant material to the Secretary of Agriculture, and, before entry thereof is accepted by customs, there must be on file at the customhouse a permit issued by the Secretary of Agriculture to the Secretary of the Treasury allowing the material to come into the United States. No part of the free time need be used by the importer in securing the issuance of the permit. Immediately upon discharge or partial discharge of the plant material, examination thereof is made on the pier by an inspector of the Division of Foreign Plant Quarantines of the Bureau of Entomology and Plant Quarantine of the Department of Agriculture, and, before it has passed such inspection, it may not be removed from the pier. The inspection is made at or, as is usually true, before the time of weighing by customs. It is almost always completed within 24 hours after the shipment has been landed. Delays may be encountered if labor (which is required to be furnished by the importer) such as that employed in the opening of packages, is not provided as needed. If the inspector finds that the goods are entitled to entry, which is generally the case, they are released by customs. Certain commodities, such as raw cotton, are allowed to enter the country on condition that they will be treated, and, as soon as the importer designates the plant where his imports thereof are to undergo the treatment, they are released to that plant, and it is the duty of customs to see to it that they are delivered there and not released to the importer. If the importer is not prompt in designating the plant, removal of the goods from the pier is delayed. There is no indication that the requirements respecting plant quarantine cause goods to remain on piers after the expiration of free time.

Some commodities, before their removal from the piers, undergo certain processes for purposes unconnected with requirements of government agencies. Spanish olives, for example, are inspected and rebrined, and, where necessary, the barrels and casks containing them are repaired, by or on behalf of the importer. In order that the rebrining may be done, the barrels and casks must be placed on bilge with bungs up, and they must not be stacked one above the other. If they

are so stacked, time is consumed in waiting for the carrier to break down the tiers and place the olives in the required position. One of the carriers has "headed up" cargo two or three tiers high, but its witness testifies that that was done three years ago. Since then, there was portion of a shipment that was "headed up" upon its discharge from vessel, but it was placed on bilge immediately after the unloading of the ship's cargo had been completed.

Waiting for customs and the Food and Drug Administration to accomplish their tasks which, in one case they did not do until eleven days after completion of the ship's discharge, appears to be the principal reason for the delay in effecting removal of olives from piers. In view of what has been said above as regards these agencies, such cause is not sufficient ground to require a modification of free-time practices. The opinion is expressed that "the carrier is held responsible for the condition of the goods, and if those goods go to a warehouse and they are in bad condition, by neglecting to fix them or rebrine them, then he is responsible and he pays a claim." Without passing on the correctness of this opinion, since it is not for the Commission to determine, it is noted that the purpose of the rebrining, which is done for the account of the importer, is "to prevent spoilage in transportation by truck or by lighter and railroad to the plants of the importers." It may be stated, moreover, that, if the view expressed is correct, it may warrant the carriers' considering whether the free-time periods should not voluntarily be lengthened, but it would not justify a requirement by the Commission that more free time be allowed.

Coffee and coca beans, besides being sampled by the Food and Drug Administration, are subjected to sampling by the importers. Coffee roasters have plants in various parts of the country, and, as testified by a witness for the coffee trade, a roaster "has got to be extremely careful that the particular lot that he is sending to his plant for his roasting requirements is in line with the formula or the procedure of the plant, and for that reason, they must definitely inspect, grade, and cup the various lots of the coffee." With the utmost speed, two days are required to complete the test. Meanwhile, the balance of the cargo from which the samples are drawn remains on the piers. In the case of cocoa, the procedure is simpler. It involves inspecting and grading, but not roasting, which is the major time-consuming element in the testing of coffee, or cupping, as tasting is called. As regards either commodity, the sampling is not an operation required in connection with delivery by the carriers. Therefore, it can provide no valid ground to contend that the free time allowed is unjust or unreasonable.

The principal reasons for seeking more free time for coffee and cocoa beans are that 80 percent of such traffic imported through the port of New York is removed from piers by the use of lighters; that the lighters are not always available as needed to accommodate the large volume of these commodities discharged from vessels, and that, when they are secured, it is difficult to find space for them at the piers.

Lighters, like railroad cars or trucks, are furnished, not by the water carriers that allow the free time, but by railroad or other companies, which send them to the piers pursuant to orders of the importers. If they are not available when the time for delivery of cargo arrives, such unavailability can have no effect as indicating that the free time allowed is unlawful. Persons importing merchandise may reasonably be assumed to have, or to be able promptly to obtain, the equipment needed to receive it. It is not necessary, in fixing free time, to allow for delays that may be encountered in the procurement of equipment. Consequently, so far as the availability of lighters is concerned, there is no warrant for holding that the free time which the carriers allow is unjust or unreasonable.

Delay experienced in securing space at piers for lighters is discussed below.

Wood pulp, which is sold on a dry basis, normally is tested on piers by the importer in respect to its moisture content before it is shipped to mills in the interior. For some time, the importers have been able to have the testing waived, but the resumption thereof at a future date is expected. No more warrant exists for its consideration than for that of commercial sampling of coffee or cocoa beans in the fixing of free time. Nor is it the principal reason for seeking additional free time for wood pulp. The chief concern expressed in regard to this commodity is that large quantities thereof, such as 1,000 to 1,500 tons, destined to the same consumer mill cannot be moved from the piers within the free time because, to quote from the testimony of an importer's witness, "the railroads are unwilling to put more cars into that particular mill than they are able to unload in a given period," this due to the fact that "the cars back up along the line, and the railroad people are in trouble." This indicates that the difficulty is that the interior mill to which the importer consigns the wood pulp does not have the facilities to receive it as fast as it could be shipped, not that the free time allowed for the removal thereof from piers is unjust or unreasonable.

The foregoing discussion disposes of the questions presented by the record relative to delays which result from Government procedures and trade practices which tend to impede the removal of cargo from

piers. As to these matters, we accept the examiner's recommendations and hold that the carriers, in determining the duration of free time, are not obliged to take account of delays in the removal of cargo which arise from the causes hereinabove discussed.

We next consider whether free time of five or six days, as provided by the tariffs presently in force, is reasonably adequate to enable the carriers to effect delivery before the inception of demurrage. It should be noted that free time is granted by the carriers not as a gratuity, but solely as an incident to their obligation to make delivery. *The Eddy*, 5 Wall. 481, 495; *The Titania*, 131 F. 229, 230. This is an obligation which the carrier is bound to discharge as a part of its transportation service, and consignees must be afforded fair opportunity to accept delivery of cargo without incurring liability for penalties. Free time must be long enough to facilitate this result—but need not be longer. As stated in Docket No. 221, *Storage of Import Property*, 1 U. S. M. C. 676, 682:

As a proper part of their transportation service respondents should allow only such free time as may be reasonably required for the removal of import property from their premises, based on transportation necessity and not on commercial convenience.

The best index to the adequacy of free time is evidence relative to the frequency and amount of demurrage assessments. If demurrage were assessed with great frequency, or in large amounts, it would suggest that free time is inadequate for delivery. If, on the other hand, demurrage is the exception rather than the rule, and the amounts of demurrage are small, we must infer that cargo is normally deliverable and delivered within free time, and that free time is adequate.

Olive importers claim that "our members have paid out thousands of dollars in demurrage charges for not being able to move their olives from the piers within the free-time period when they have not been responsible for the delays at all." No evidence was offered, however, to support this general assertion. An importer of rubber and spices, while stating that "about 25% of our imports are subject to demurrage," declined to substantiate the assertion by producing his company's records. A traffic manager for a large food importer was unable or unwilling to furnish any information as to demurrage paid by his company or his industry except that his company had once paid \$12.41 on 20,000 cases of pineapple and on another occasion \$2.91 on 250 bags of coffee. The same witness said "*We never worry about the penalty charge.*" Asked whether he made every effort to take delivery within free time, he answered, "Yes, we make every effort. We pay terrific—well, very high transportation charges."

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Only one importer ventured to estimate his demurrage cost over a period of time. He said that his company paid \$1,800 demurrage in 1946 on food imports involving \$400,000 of ocean freight—the ratio of demurrage to freight being less than half of one percent. This percentage, small as it is, may be higher than the average because the company against which the demurrage was assessed imports figs and dates in quantities so large as to retard inspection by the Food and Drug Administration.

Importers contended during oral argument that statistics as to amounts of demurrage collected should have been furnished by the carriers. The carriers, however, are not seeking relief from their own regulations. That relief is sought by the importers, and it was incumbent upon them to prove the facts on which their case depended. We cannot assume, in the absence of proof, that demurrage penalties are sustained with excessive frequency or in unwarranted amounts. The record being without support for a finding that demurrage is unduly burdensome cannot and does not require or authorize a conclusion that existing free time is inadequate, since demurrage, is, in at least a general way, a measure of the inadequacy of free time.

We have not overlooked the hardships to importers which result from traffic conditions at the piers. The piers themselves are heavily congested with cargo, import and export. Many are old, and inadequate to accommodate readily the cargoes of large modern ships, or to afford easy access and adequate maneuvering space for trucks. These conditions slow down the delivery of import cargo, with the result that trucks which call for it are delayed in long queues at the pier entrances. A particular truck may wait for many hours and then may be turned away without a load, in which event it must return at a later hour or on another day. Trucking is inefficient and expensive in these circumstances, which account for the testimony above quoted of the witness who said that although he tried to take delivery within free time, the effort involved "terrific" transportation (i. e., trucking) charges.

The congestion of trucks has its counterpart with respect to lighters, which carry the greater share of the traffic. Lighters may be and often are blocked out by ships alongside the piers, and are long delayed in finding a place at the apron. We may infer that such delays do not improve the economy of lighterage.

The importers claim that congestion and delay would be reduced or eliminated if free time were extended to ten days. This contention is negated by testimony that importers' trucks would still present themselves at the pier at the earliest possible moment and would "park on the doorstep" until loaded. If all importers did the same (and all

profess eagerness to obtain their goods promptly), congestion would not be reduced.

But even if an extended free-time period should have the effect which importers claim for it, it does not follow that we should or may order the extension unless extension is necessary to assure delivery of cargo without unwarranted penalties. As previously indicated, free time is not a gratuity to consignees. It is allowed solely to permit fulfillment of the carrier's obligation to deliver the goods. It need not exceed "a reasonable time allowed for their removal." *The Titania*, 131 F. 229, 230. A "reasonable time" must be determined with due regard for the rights of all parties, including carriers as well as importers, and especially for the public interest, which requires that congestion of ports be minimized in the interest of efficient water transportation.

The record amply demonstrates that the port of New York is congested, some witnesses having described the congestion as worse than in 1941 when we informally requested that free time be reduced below ten days. Witnesses for the steamship lines testified convincingly that free time cannot be increased without aggravating the congestion¹⁶ and the record contains no reliable evidence to the contrary.

We do not minimize the inconvenience to importers of meeting five-day or six-day deadlines on expiration of free time. The significant fact, however, is that they are meeting them with considerable success, and that import traffic is now moving across the piers more rapidly than it did under the ten-day rule. There was testimony that "a greater percentage of each vessel's cargo is delivered within six days under present conditions than was delivered within six days when the free time was ten days." It thus appears that the shorter free time allowance is promoting the efficiency of the port and that we could not require a general enlargement of free time without risking disorganization of pier operations. Conceding that the removal of property

¹⁶ A witness appearing for a group of lines which allow six days of free time testified:

"It not only seems evident to us, but it is positively evident, based on continual study, that we are making, that were we to extend free time beyond the present six-day period, it would certainly have the effect of increasing the congested condition which exists in New York at the present time, and would, within a short time, make it impossible—and I would like to stress the word 'impossible'—for many of our lines, if not all of them, to not only deliver their cargo in good order, but even find it for delivery on the pier.

"Now, to explain a little bit what I mean by that, I should say that a number of our lines operate their services with considerable frequency. Some of them have vessels coming in here at the rate of three and four per week. We are very certain that unless the cargo from one ship is completely delivered by the time the next ship arrives, the next ship is going to cause congestion by reason of the combination of cargo remaining on the pier from the vessel plus the discharge of the second vessel, and as successive vessels arrive, that condition is going to become materially worsened, and within a very short time not over 30 days, the conditions on those piers will be impossible."

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within five or six days imposes substantial burdens on importers, we are nevertheless compelled to find that the law and the evidence do not justify the transfer of those burdens to the carriers in the form of extended free time.

We do find that under the conditions currently prevailing in the port of New York, five days is the shortest time that affords to consignees a reasonable opportunity to take delivery of imports. A tariff providing for less than five days of free time would, under existing circumstances, be unjust and unreasonable. No tariff specifically provides for less than five days of free time at New York, but several tariffs are so phrased that they fail to assure consignees of any free time whatever. An example is tariff No. 4 under Agreement No. 7115, which provides in relevant part:

1. A maximum free time period not to exceed six days exclusive of Saturdays, Sundays, and legal holidays shall be observed. Any cargo not removed from the piers within this free-time period, shall be placed in public storage at the risk and expense of the cargo.

2. The carriers do not waive but they reserve all provisions of their bills of lading including those whereby removal may be required within a shorter period than six days.

* * * * *

4. Free time expires at 5:00 P. M. on the sixth day after its commencement, including the day it starts but not including Saturdays, Sundays, and legal holidays.

These provisions do not guarantee six days of free time as a minimum; they merely authorize six days as a maximum. By reservation of the provisions of bills of lading "including those whereby removal may be required within a shorter period than six days," they deprive consignees of the right to insist upon any allowance of free time except at a carrier's election. This follows from the fact that bills of lading almost universally provide for transportation only to the end of ship's tackle. A provision for ship's tackle delivery is obviously one "whereby removal may be required within a shorter period than six days."

In the port of New York, delivery can seldom, if ever, be made at the end of the ship's tackle. In these circumstances, a provision in the bill of lading purporting to require the receipt of cargo at ship's tackle, is inconsistent with the common-law requirement of "due and reasonable notice to the consignee, so as to afford him a fair opportunity to remove the goods." (*The Eddy*, 5 Wall, 481, 495.) Moreover, regardless of the actual ability or inability of carriers to deliver at ship's tackle, it is the established custom of the port to make delivery to the dock; and such custom supersedes all contrary provisions of bills of lading (*The Titania*, 131 Fed. 229, 232).

We hold that a tariff which fails to assure to consignees a minimum of five days of free time, and which authorizes "public storage at the risk and expense of the cargo" prior to the expiration of five days' free time (exclusive of Saturdays, Sundays, and legal holidays) is an unjust and unreasonable regulation under the conditions which now prevail at the port of New York.

The examiner recommended that "the tariffs should be revised so as to show the full free time allowed, including that prior to 8:00 A. M. of the day following complete discharge of the vessel." This recommendation refers to the carrier's practice of allowing some cargo to be removed by consignees while the vessel is discharging and before tariff free time officially begins. While this practice involves a possibility of discrimination between consignees, there is no evidence of actual discrimination, and we consider the general practice to be proper because it speeds delivery: one group of carriers delivers about 28 percent of in-bound cargoes during the period of discharge. While approving the practice, as such, we do not feel justified in requiring here that free time be defined in the tariffs to include any part of the period of discharge, since such definition might imply a right in consignees to enter the pier and demand their cargoes as soon as landed. To confer that right would be impracticable because the carriers, in order to operate efficiently, must retain the power to exclude the public, except as admittance may conveniently be granted, until a vessel's entire cargo has been landed, sorted, and laid out in accessible position.

We cannot agree with the examiner's recommendation that free time be extended to take account of the waiting time of trucks and lighters. The suggested rule would, in our opinion, result in less efficient operation, to the detriment of all concerned. Under the examiner's proposal, a consignee who applied unsuccessfully for his cargo would be told by the carrier when to apply again and the interval between his first and second applications would be added to the free time. This system would enable the carrier or its pier personnel to prefer favored shippers by granting them "appointments" to receive their cargo at their own convenience. It would invite bribery of delivery clerks. It could promote disputes between truck drivers if those returning at appointed times were served ahead of others awaiting their turn in line. It would frequently present problems of identifying the cargo to which the time extension applied: if a 10-ton truck should call for part of a 1,500-ton shipment, would the extension apply to 10 tons or to 1,500? If to 10 tons, to which 10?

We do not share the examiner's view that a notice of availability of cargo should be required in order to start the running of free time.

The requirement would merely postpone the removal of cargo by as long a time as the notice took to reach the consignee, and would serve no discernible need. Consignees are universally apprised of the arrival of vessels and routinely inform themselves by telephone, messenger, or reference to shipping publications, as to the availability of their cargoes and the commencement and expiration of free time. Insistence upon a notice of availability would subject the carriers to extra work and expense that would be largely futile, and which appears quite unjustifiable.

As noted above, the demurrage rates in force at New York are on a geometrically progressive scale, beginning at 2½ cents per hundred pounds for the first five days after expiration of free time, increasing to five cents for the second five-day period and to ten cents for each five-day period thereafter. While there is testimony purporting to show that these rates, even at the top of the scale, are non-compensatory to the carriers, it is undisputed that the demurrage rate structure is penal in purpose, intended to clear the piers.

Special problems develop in consequence of the penal demurrage scale, when port-wide conditions arise which prevent the removal of cargo until free time has expired and demurrage has accrued. General disability to remove cargo may result from various causes, of which the most frequent cause in recent years has been labor strife. During the latter part of 1946, the port of New York was crippled by strikes of seafaring personnel and truck drivers. Large quantities of cargo were immobilized on piers pending settlement of the disputes, and demurrage at penalty rates was assessed against many consignees.

In considering the effect of strikes on the rights of the parties, a distinction must be drawn between strikes which involve employees of carriers and those which involve others. Strikes by employees of carriers present no regulatory problem on the present record, since the carriers recognize that when delivery is prevented by strikes of their own employees, free time must be extended. One witness testified that "any condition or any delay brought about by the inability of our lines to tender for delivery due to the seamen strikes or to the picketing of the pier by servants of the vessel by reason of that strike, we were responsible for, and we were obliged to extend free time for a comparable period." This principle is expressly recognized in some of the tariffs.

The tariff under Agreement No. 6015 provides:

* * * The foregoing provisions in respect to the commencement of free time is based upon the assumption that individual shipments or portions thereof are available for delivery to consignees upon application therefor.

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Tariff No. 4 under Agreement No. 7115 provides:

Should any individual shipment or portion thereof, upon application therefor, be unavailable for delivery to the consignee at any time during the free time period, the expiration of the free time period on the unavailable cargo shall be extended for a period equal to that during which said cargo was not available for delivery.

We believe that such provisions as these afford adequate protection to consignees against the assessment of demurrage where, due to strikes of carrier personnel, or other impediments, cargo cannot be tendered for delivery.

A different situation exists in a case such as a truck drivers' strike, which is no responsibility of the carrier, but which effectively prevents consignees from removing their shipments. During the 1946 trucking strike, many piers were blockaded by the physical or moral force of picket lines established by drivers or their sympathizers, and demurrage was assessed on many shipments which, although available for delivery, consignees could not remove. In such cases, neither carriers nor consignees are at fault. Both are helpless bystanders. Consignees claim that, being free from fault, they should not be obliged to pay demurrage, and carriers, equally faultless, insist that we should not require them to waive it.

It is clear to us that where carriers and consignees are jointly affected by conditions beyond their control, neither should be subjected to an avoidable penalty, and neither should be permitted to profit from the other's disability.

Demurrage charges have a dual composition, consisting of an element of compensation for the storage of property, and an element of penalty to induce its removal. *Chrysler Corp. v. N. Y. Central R. Co.*, 234 I. C. C. 755, 759. When property lies at rest on a pier after free time has expired, and consignees, through reasons beyond their control, are unable to remove it, the penal element of demurrage charges assessed against such property has no effect in accelerating clearance of the pier. To the extent that such charges are penal—i. e., in excess of a compensatory level—they are a useless, and consequently unjust burden upon consignees, and a source of unearned revenue to carriers. The levying of such penal charges, therefore, constitutes an unjust and unreasonable practice in connection with the storing and delivering of property, and should be forbidden.¹⁷ The carrier is entitled, however,

¹⁷ An individual consignee is not relieved of his normal liability for demurrage, when his disability to remove his shipments results merely from a strike of his own personnel. (Compare *National Cooperage and Woodware Co. v. Alton and S. R.*, 241 I. C. C. 183). The cases which call for a departure from penal scales of demurrage are those in which community-wide disturbances (of which trucking strikes are a good example) render it impossible for consignees as a class to take possession of their cargoes.

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to fair compensation for sheltering and protecting a consignee's property during the period of involuntary bailment after expiration of free time.

The Interstate Commerce Commission has consistently held, in relation to car demurrage, that where a locality is paralyzed by a strike against transport facilities, cars detained at or en route to that locality, in consequence of strike conditions, are not subject to demurrage at rates in excess of compensatory levels. *Balfour, Guthrie & Co., Ltd. v. Chicago, M., St. P. & P. R. Co.*, 235 I. C. C. 437; *Chronicle Publishing Co. v. Great Northern Ry.*, 243 I. C. C. 279. *Croce v. N. Y. Central R. R. Co.* (I. C. C., No. 29688, decided August 5, 1948). Compare *Chrysler Corp. v. N. Y. Central Ry. Co.*, 234 I. C. C. 755.

In the *Balfour, Guthrie* case, *supra*, the Commission said (235 I. C. C. at 440) :

It is clear, however, that with respect to the cars held on the docks the collection of charges substantially in excess of the cost of furnishing the cars was futile as a deterrent against excessive detention and could not have accomplished the release of the cars if the charges had been several times the amount collected. Likewise, such charges could not have accomplished the prompt release of the cars held in the outer yards. The cars were held because of the intervention of a force entirely beyond the control of both shipper and carrier. None of these cars could have been moved as originally consigned without the possibility of precipitating violence and danger of bloodshed. The longshoremen's strike was, in effect, a strike against transportation facilities over which the shippers had no control. It differed in that respect from the ordinary industrial strikes. While such a condition should not relieve the shipper from the liability of reimbursing the carrier for the expense it suffered by reason of the detention of its equipment, there is no sound reason why defendants should be permitted to collect charges, designed to force the release of such equipment, that are substantially in excess of the cost of furnishing the cars. Defendants should not be permitted to make sizable profits at the expense of the shipper who, in the circumstances, was powerless to release the cars.

This proceeding is not a rate case, and affords no sound basis upon which we may determine whether the first-period penalty rate of 2½ cents per hundred pounds is or is not a compensatory rate. We make no suggestion that the rate of 2½ cents per hundred pounds for five days, or any other rate, is sufficient to reimburse a carrier for its expenses in storing cargo, or to yield a profit. We hold, however, that demurrage charges *at penal levels* are not justifiable by reference to a carrier's need for revenue. As stated in *Croce v. N. Y. Central R. R. Co.* (*supra*, I. C. C. No. 29688, decided August 5, 1948), a case involving demurrage on railroad equipment :

* * * the consequences of strikes and car shortages should not be visited at random upon individual shippers in the form of demurrage charges far in excess of those generally regarded as reasonable when the shipper is able to

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establish that unloading of the cars is impossible. Deficiencies in railroad revenues resulting from causes of this character are matters calling for consideration in general revenue proceedings.

For present purposes we must, and do, assume that the minimum demurrage charge, imposed with respect to the first five-day period after expiration of free time,¹⁸ represents a compensatory charge for that period (See Docket No. 555, *Practices of San Francisco Bay Area Terminals*, 2 U. S. M. C. 588; aff'd *California v. U. S.*, 320 U. S. 577). In the absence of proof, or of a basis for valid inference, that the cost of harboring demurrage cargo doubles in the second period and quadruples in the third, we find that the charges for the second and third periods are penal to the extent of the excess of those charges over charges for the first period.

We, therefore, hold that in cases where consignees are prevented from removing their cargoes by port-wide trucking strikes, weather, or other port-wide factors not subject to consignee's control, carriers should be limited, for the duration of the strike or other condition, to the first-period demurrage charges. If those charges are not compensatory, the carriers should amend their tariffs by the publication of such new demurrage rates as meet their needs and the requirements of law.

The carriers are, of course, precluded from assessing any demurrage whatever when, because of strikes of their own personnel, or for any other reason, they are unable, or refuse, to tender cargo for delivery.

We find as follows:

1. Free time of five days (exclusive of Saturdays, Sundays, and legal holidays), computed from the start of business on the first day after complete discharge of the vessel, is adequate free time on import property at New York under present conditions.

2. Free time on import property at New York shall not be less than five days, except as the Commission may hereafter direct.

3. Where a carrier is for any reason unable, or refuses, to tender cargo for delivery, free time must be extended for a period equal to the duration of the carrier's disability or refusal.

4. Where a consignee is prevented from removing his cargo by factors beyond his control (such as, but not limited to, trucking strikes or weather conditions) which affect an entire port area or a substan-

¹⁸ Counsel have directed our attention to the fact that when the Interstate Commerce Commission orders partial abatement of demurrage on equipment detained by strike conditions, it permits collection of reasonable compensation over the entire period of detention resulting from the strike, *without allowance of free time*. See *Oroce v. N. Y. Central R. R. Co.*, *supra*. We do not deem it necessary to borrow that rule for application to the present case, since carriers' rates for transportation are presumably fixed at levels which take account of free time.

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tial portion thereof, carriers shall (after expiration of free time) assess demurrage against imports at the rate applicable to the first demurrage period, for such time as the inability to remove the cargo may continue. Every departure from the regular demurrage charges shall be reported to the Commission.

5. The Commission makes no finding approving or disapproving demurrage rates presently effective as to import property at the port of New York.

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ORDER

At a Session of the UNITED STATES MARITIME COMMISSION,
held at its office in Washington, D. C., on the 19th day of October
A. D. 1948

No. 659

FREE TIME AND DEMURRAGE CHARGES AT NEW YORK

By order dated May 29, 1947, and published in the Federal Register on June 7, 1947, the Commission ordered that public hearings be held with respect to free time and demurrage charges on import property at the port of New York.

Hearings were held accordingly and the Commission on the date hereof made and filed a report incorporating its findings, which report is incorporated herein by reference. The findings of the Commission, as therein set forth, are as follows:

1. Free time of five days (exclusive of Saturdays, Sundays, and legal holidays), computed from the start of business on the first day after complete discharge of the vessel, is adequate free time on import property at New York under present conditions.

2. Free time on import property at New York shall not be less than five days, except as the Commission may hereafter direct.

3. Where a carrier is for any reason unable, or refuses, to tender cargo for delivery, free time must be extended for a period equal to the duration of the carrier's disability or refusal.

4. Where a consignee is prevented from removing his cargo by factors beyond his control (such as, but not limited to, trucking strikes or weather conditions) which affect an entire port area or a substantial portion thereof, carriers shall (after expiration of free time) assess demurrage against imports at the rate applicable to the first demurrage period, for such time as the inability to remove the cargo may continue. Every departure from the regular demurrage charges shall be reported to the Commission.

(1)

II

5. The Commission makes no finding approving or disapproving demurrage rates presently effective as to import property at the port of New York.

It is hereby

Ordered, That the foregoing findings be and hereby are adopted as rules of the Commission; and it is further

Ordered, That such rules shall be binding upon all common carriers by water in foreign commerce with respect to regulations and practices affecting free time and demurrage on import property at the port of New York; and it is further

Ordered, that on or before the effective date of this order, all tariffs of such carriers relative to free time and demurrage on import property at the port of New York be conformed to the findings and rules herein set forth; and it is further

Ordered, That this order become effective December 15, 1948.

It is further ordered that this order be published in the Federal Register.

By the Commission.

[SEAL]

(Sgd.) A. J. WILLIAMS,
Secretary.

SUPPLEMENTAL ORDER No. 1

At a Session of the UNITED STATES MARITIME COMMISSION,
held at its office in Washington, D. C., on the 14th day of April A. D.
1949

No. 659

FREE TIME AND DEMURRAGE CHARGES AT NEW YORK

The Commission having published in the Federal Register of March 4, 1949, a notice of proposed amendment to finding No. 2 of its report and order of October 19, 1948, in this proceeding, as follows:

Free time on import property at New York shall not be less than five days, except on property of such a special nature as to require earlier removal because of local ordinances or other governmental regulations, or because piers are not equipped to care for such property for such period, or except as the Commission may hereafter direct.

and the thirty-day period provided in said publication for the submission to the Commission of written views and suggestions on said amendment having expired, and none having been received objecting to the amendment or which would require any change in the wording of the amendment; it is

Ordered, That the amendment as above written be, and it is hereby, made to finding No. 2 of the Commission's report and order of October 19, 1948, in this proceeding; and it is further

Ordered, That the said amendment shall be binding upon all common carriers by water in foreign commerce with respect to regulations and practices affecting free time and demurrage on import property at the port of New York; and it is further

Ordered, That the said amendment be published in the Federal Register, to become effective thirty days thereafter; and it is further

Ordered, That any or all of the exceptions authorized by the amendment herein used by any common carrier by water in foreign commerce shall be published in the tariffs of such carrier on or before the effective date of said amendment or prior to the date of a later initiation of such use.

By the Commission.

[SEAL]

(S) A. J. WILLIAMS,
Secretary.